6.1

Economic Issues

Cambridge IGCSE Business

- Business Cycle
- Boom & Growth
- Recession & Slump
- Employment
- Inflation
- Government Policy
- Interest Rates
- Tax Effects

Economic Issues

The economy goes through cycles of growth and decline. Government policy — taxes, spending and interest rates — shapes the environment in which all businesses operate.

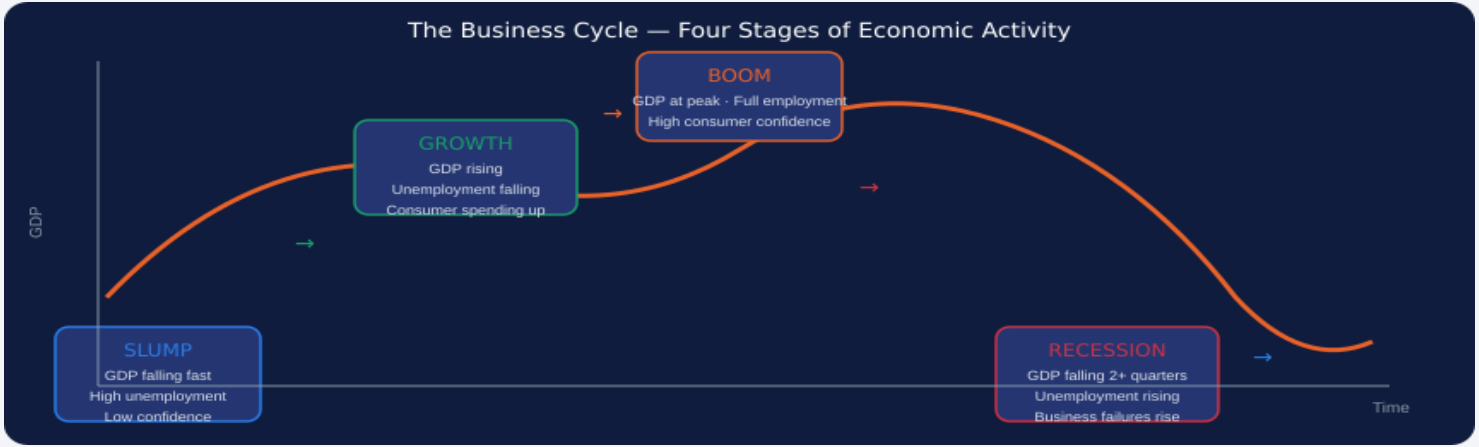
- Explain the four stages of the business cycle
- Analyse how employment and inflation affect businesses
- Evaluate the effects of changes in government tax policy
- Explain how interest rate changes affect businesses

The Business Cycle

Growth · Boom · Recession · Slump

The Business Cycle – Four Stages of Economic Activity

The business cycle describes the regular pattern of growth and decline in an economy's output (GDP). All businesses are affected by which stage of the cycle the economy is in.



Stage	GDP	Employment	Consumer spending	Effect on businesses
Growth	Rising	Falling	Increasing	Sales rise · profits up · investment grows
Boom	At peak	Very low	At highest	Strong demand · risk of cost inflation · labour scarce
Recession	Falling	Rising	Falling	Sales fall · businesses cut staff · investment stops
Slump	At lowest	Very high	At lowest	Many businesses fail · survival is the key objective

Exam tip: A RECESSION is defined as two or more consecutive quarters of falling GDP. A SLUMP is a prolonged, severe recession. Know the difference and know what each stage means for business.

How Each Stage Affects a Business – Real Examples

The stage of the business cycle changes what objectives businesses pursue, how they manage costs, and how confident they are about investing for the future.

BOOM — How businesses typically respond:

Tesco	Buys new stores, increases product range, invests in technology and logistics	Labour shortages push wages up
Housebuilders	Taylor Wimpey launches new developments — demand and prices at a peak	Rising costs of raw materials (inflation)
Airlines	easyJet increases routes and fleet — consumer confidence and disposable income high	Risk of over-expansion — boom will eventually end

RECESSION — How businesses typically respond:

Tesco	Cuts 9,000 jobs (2014 recession), closes stores, freezes capital expenditure	Cash flow problem - customers stop paying on time
Car industry	Jaguar Land Rover loses £3.6bn in 2019 — demand slumps, factories cut shifts	Banks tighten lending — overdrafts called in
Retailers	Woolworths, BHS and Debenhams all collapsed during or after economic downturns	Demand shifts to cheaper alternatives

Exam tip: In a recession, businesses that sell NECESSITIES (supermarkets, pharmacies, discount retailers) suffer less than those selling LUXURIES (cars, holidays, designer goods).

Macroeconomic Conditions

Employment · Inflation · Government policy

Effects of Employment, Inflation and Economic Growth on Business

Three key macroeconomic conditions constantly shape the trading environment for businesses. Changes in any one of them can significantly impact costs, revenues and strategy.

How Economic Conditions Affect Businesses

High Employment

More people in work → higher disposable income → more consumer spending → businesses sell more

Business impact:
Revenue rises · businesses expand · need more workers

High Unemployment

Fewer people working → less income → spending falls → businesses lose sales and revenue

Business impact:
Revenue falls · businesses cut staff · investment stops

High Inflation

Rising prices → consumers buy less · raw material costs rise for businesses · wage demands increase

Business impact:
Costs rise · margins squeezed · competitiveness falls

Economic Growth

GDP rising → consumers more confident → spending rises → most businesses benefit from demand

Business impact:
Sales grow · profits rise · investment is easier to fund

Inflation in practice — case study: UK 2022–2023 (11% peak inflation):

Energy costs:	Industrial gas and electricity costs tripled — manufacturers' margins collapsed
Wage demands:	Workers demanded pay rises to keep up — Tesco, Amazon and Royal Mail all saw strikes
Consumer behaviour:	Shoppers switched to value ranges — Aldi and Lidl grew market share significantly
Interest rates:	Bank of England raised rates to 5.25% to control inflation — mortgage costs soared

Exam tip: Inflation affects businesses through THREE channels: rising COSTS (materials, wages), falling DEMAND (consumers buyless) and higher INTEREST RATES (cost of borrowing rises).

Effects of Government Policy – Taxes and Interest Rates

Governments use fiscal policy (taxes and spending) and monetary policy (interest rates) to manage the economy. Changes in both directly affect business costs and consumer spending.

Effect of Interest Rate Changes on Businesses

RISING INTEREST RATES

- Loan repayments increase — higher cost of borrowing
- Consumers spend less (mortgage costs rise) — demand falls
- Business investment falls — projects become unaffordable
- Cash-strapped businesses face higher overdraft costs
- Exporters benefit (higher returns attract foreign investment)

FALLING INTEREST RATES

- Loan repayments fall — cheaper to borrow and invest
- Consumers spend more (mortgage costs fall) — demand rises
- Business investment increases — projects become viable
- Businesses can borrow more cheaply to fund growth
- Currency may weaken — exports become more competitive

Effects of changes in taxation:

Tax type	Who pays	Rise in tax → effect on business	Fall in tax → effect on business
Corporation Tax	Businesses (on profit)	Less profit retained → less investment → lower dividends	More profit kept → more reinvestment and expansion
Income Tax	Workers (on wages)	Less disposable income → consumers spend less → demand falls	More take-home pay → more consumer spending → demand rises
VAT	Consumers (on goods)	Higher prices → demand falls · businesses may absorb some cost	Lower prices → demand stimulated · businesses may raise margins
Government Spending	Funded by taxes	Cuts reduce public sector contracts → demand for private firms falls	Increases boost demand for construction, healthcare, education

Exam tip: Know TWO ways businesses can RESPOND to higher interest rates: (1) delay investment decisions, (2) pass higher borrowing costs on to customers through higher prices.

Key Revision Checklist – 6.1 Economic Issues

Growth stage	GDP rising, unemployment falling, consumer spending increasing. Sales rise, businesses invest.
Boom stage	GDP at peak, very low unemployment, high consumer confidence. Risk: inflation, labour shortages.
Recession	GDP falling for 2+ consecutive quarters. Unemployment rising, spending falls, businesses cut costs.
Slump stage	GDP at lowest, very high unemployment, very low spending. Many businesses fail.
High inflation	Costs rise (materials, wages). Consumers buy less. Businesses squeezed on both costs and revenue.
Corporation tax rise	Less profit kept → less investment and lower dividends. Businesses may cut costs to compensate.
Income tax rise	Less disposable income → consumers spend less → demand for goods and services falls.
Interest rate rise	Dearer to borrow → businesses delay investment. Consumers spend less (mortgage costs rise).
Interest rate fall	Cheaper to borrow → businesses invest more. Consumers spend more. Demand and growth stimulated.